DB HiTek
ESG REPORT

2021-2022 DB HiTek ESG Report

DB HiTek

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DB HiTek

CEO Message

DB HiTek Co., Ltd
Vice Chairman & CEO

Chang-sik Choi

The COVID-19 virus has swept the globe over the past three years and changed many aspects of our lives. The non-face-to-face interaction has become common, and consequently, the demand for automobiles, smartphones, and consumer electronics across the field has increased, resulting in substantial semiconductor market growth. Thanks to the synergy of the market boom met with its technological competitiveness and production know-how, DB HiTek recorded sales of KRW 1.214 trillion in 2021, a 30% increase from the previous year. The operating income was KRW 399.1 billion, a 67% growth compared to the previous year, and set another new record for the third consecutive year. For these achievements, I would like to express my deepest gratitude to all stakeholders who have consistently shown unwavering support and love to DB HiTek.

As the core of the fourth industrial revolution, the semiconductor industry must play a key role in leading the new paradigm in the future. In particular, it needs to create an environment of sustainable management where the entire ecosystem can co-exist. As a member of the semiconductor industry, DB HiTek seriously accepts its corporate responsibility and has been conducting various activities to meet the stakeholders' expectations in all areas of ESG, including environment, society, and governance.

First, to reduce greenhouse gases and carbon that cause global warming, we are expanding our eco-friendly investments and striving to minimize the environmental impact in the entire process of product development, manufacturing, and disposal.

Second, to solve various problems our society faces, we are establishing a close cooperation network with the local organizations where our worksites are located and developing win-win activities. We also seek to improve the working condition of our employees and partners.

Third, to build an environment for sustainable management, we have established a committee within the Board of Directors in March 2022, further solidifying our ESG management system. DB HiTek will continue to support and faithfully comply with the UN Sustainable Development Goals (SDGs) and actively communicate with stakeholders.

Through the activities mentioned above, DB HiTek plans to achieve the ESG management goal of **'Drive to a Better Future.'** I ask for your generous support and interest in DB HiTek as it continues to achieve shared growth with society as a responsible member of the corporate world.

Company Overview

DB HiTek,
World Leader in Specialty Foundry

DB HiTek launched its business in 1997 as Korea's first system semiconductor foundry.

DB HiTek's semiconductor foundry business is a customized service that consigns the production of system semiconductors to customer designs based on state-of-the-art manufacturing technology of semiconductors from 90 nanometers to 0.35 microns. We produce various types of semiconductors, such as power management IC (PMIC), contact image sensor (CIS), and display driving IC (DDI), embedded in various applications ranging from mobile phones to industrial and medical equipment and automobiles.

In particular, DB HiTek developed the world's first 0.18um BCDMOS process and has secured the world's best technology in the analog/power fields ever since. Based on our rich experience in mass production, we are reinforcing our competitiveness by securing processes such as Mixed-Signal, CMOS Image Sensor, RF, MEMS, and SJ MOSFET.

Moreover, DB HiTek entered the system semiconductor design business with our technology in 2008 and is designing and supplying core display parts, such as LCD Driver IC and OLED Driver IC. Based on our extensive experience in product development, we have established ourselves as the major supplier of global display manufacturers.

DB HiTek is concentrating our capabilities on developing the latest system semiconductor manufacturing technology while striving to advance the domestic system semiconductor industry.

Company Overview

History

1997's

Established DongBu Electronics

- Advanced into non-memory business
- Business difficulties due to large-scale loaning → improvements to financial structure
- Accumulation of technical know-how and continuous recruitment of excellent personnel

2014's

Operating profit turned to black

- Strengthened business structure
  - Development of new high value-added processes and products, increased capacity, expansion of customer base, cost reduction

2021's

All-time high sales and operating profit

- Entry into stable growth trajectory
- Preparation for "jump-up" growth

Vision Diagram

VISION

Great People Technology

Vision Statement

"We will become the best, creating the **best company** in the world within the field of specialized system semiconductor through innovative technology.

Core Value

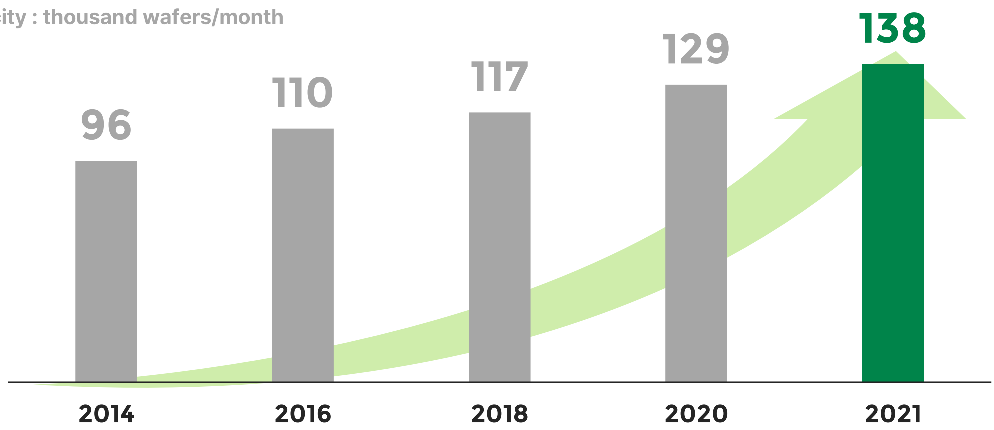
- Customer Value First
- Endless Pursuit
- Lead by Example Self-Management

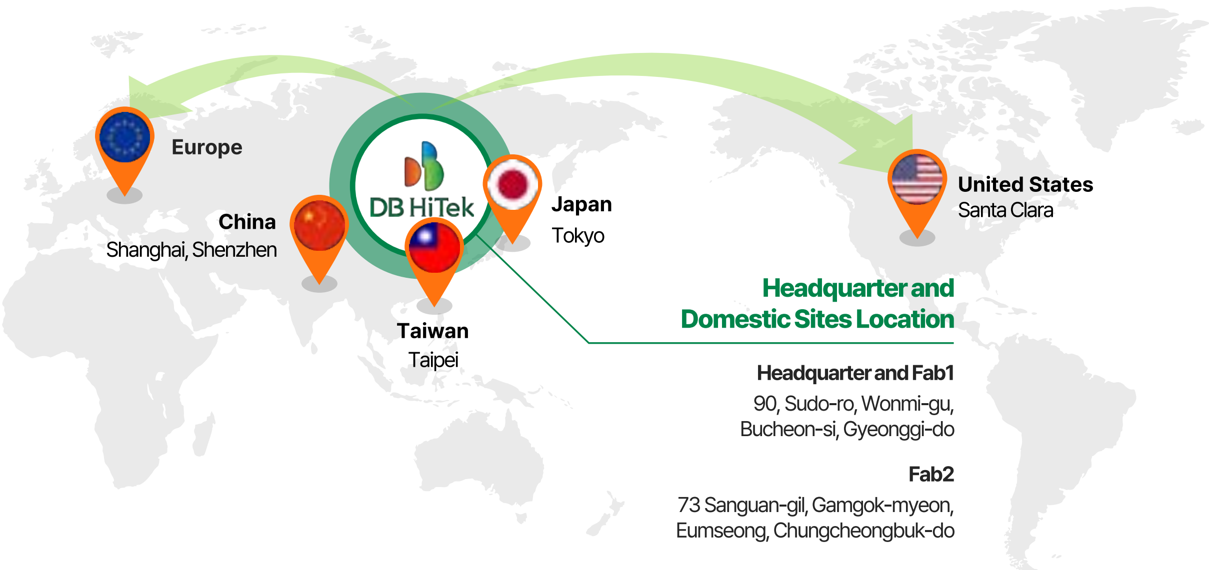
Introduction to Business Locations

DB HiTek is **producing cutting-edge system semiconductors** in Bucheon, Gyeonggi-do (Fab 1) and Eumseong, Chungcheongbuk-do (Fab 2) based on 90 nanometer to 0.35 micron process technology. We have secured a monthly production capacity of 138,000 sheets and plan to continuously expand it through steady innovations in production and by investing in equipment and facilities. We have also established business networks for technology the in Silicon Valley(USA), Taipei (Taiwan), Tokyo (Japan), Shanghai and Shenzhen (China), and are **conducting global business with domestic and foreign semiconductor companies.**

Semiconductor production no. by year

Capacity : thousand wafers/month





Business Performance

The COVID-19 virus has swept the globe over the past three years, causing drastic changes in many aspects of our lives. The non-face-to-face interaction, including remote working and online classes, has become common. Consequently, the demand for automobiles, smartphones, and consumer electronics across the field has increased, resulting in substantial growth in the semiconductor market.

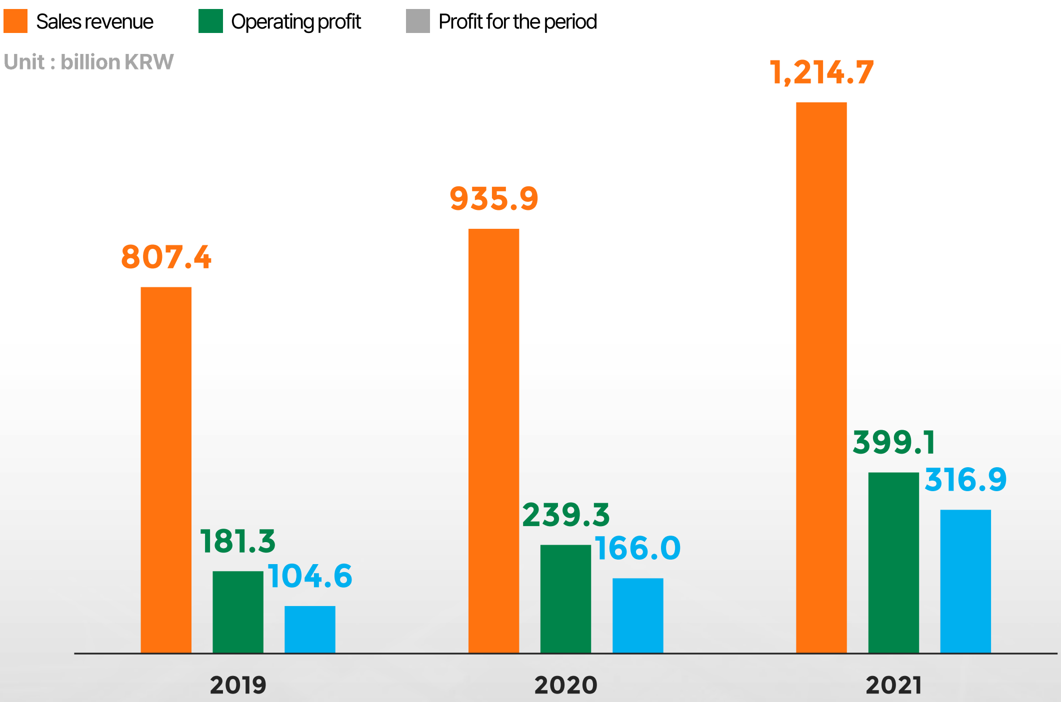
However, the semiconductor market is facing a challenge with the emergence of other crises like the global competition in the semiconductor market and the resulting rise in raw material prices, semiconductor shortage, and inflation.

Even in such a complex situation, **DB HiTek has overcome the crises with unrivaled technological competitiveness and manufacturing know-how with a record-breaking performance in both sales and operating profit for three consecutive years.**

As the world is introducing carbon-neutral policies to respond to global climate change, **DB HiTek's efforts to prioritize sustainability management also have continued.** As a result, **we received an A-rating in 2021 from the Korea Corporate Governance Service and an AA-rating in 2021 from Sustinvest for three consecutive years,** recognized for our efforts to contribute to sustainable growth.

In 2022, DB HiTek will do its best to continue creating a sustainable and prosperous environment and society.

Main Financial Performance



Mid- to Long-Term ESG Strategy

DB HiTek has **established an ESG management system for flexibly responding to changes** in the rapidly changing internal and external business environment to achieve sustainable growth. DB HiTek aims to achieve sustainable growth by setting 'Drive to Better Future' as its ESG management goal by 2030 through advancing eco-friendly business, strengthening a co-prosperity of businesses, and advancing its corporate governance system. **We plan to establish mid- to long-term, step-by-step roadmaps to be systematically implemented through establishing a company-wide management system befitting a company leading in the field of ESG.**

ESG Management System

Vision: Great People Technology

ESG Management Goal: Drive to Better Future 2030

Strategic Direction

	E	S	G
Strategic Direction	Advancement of eco-friendly management for carbon reduction	Reinforcement of co-prosperity business for creating social value	Strengthening of governance system for sustainable growth
Tasks	▪ Establishment of carbon reduction/neutrality and mid- to long-term strategy ▪ Establishment of carbon reduction facility and investment plan ▪ Strengthen monitoring of pollutants and water resources ▪ Development of low-carbon product / expansion of production	▪ Strengthen employee welfare benefits ▪ Expand support programs for partner companies ▪ Strengthen communication with stakeholders ▪ Expand activities regarding social responsibility	▪ Formation of organization specialized in ESG ▪ Advancement for the operation of committees within the board of director ▪ Strengthen personal information protection system

Mid/long-term roadmap

ESG 1.0 — Establishment of ESG Management System (2020~2024)
- ✓ Analysis of major issues and trends domestic and international
- ✓ Perform tasks for short-term improvement
- ✓ Restructuring of organization, R&R, and processes

ESG 2.0 — Strengthening of ESG Management Strategy (2025~2029)
- ✓ Punctual response to ESG regulations and policy trends
- ✓ Strengthen performance management by linking strategic projects with KPIs
- ✓ Achieve outstanding results through ESG management

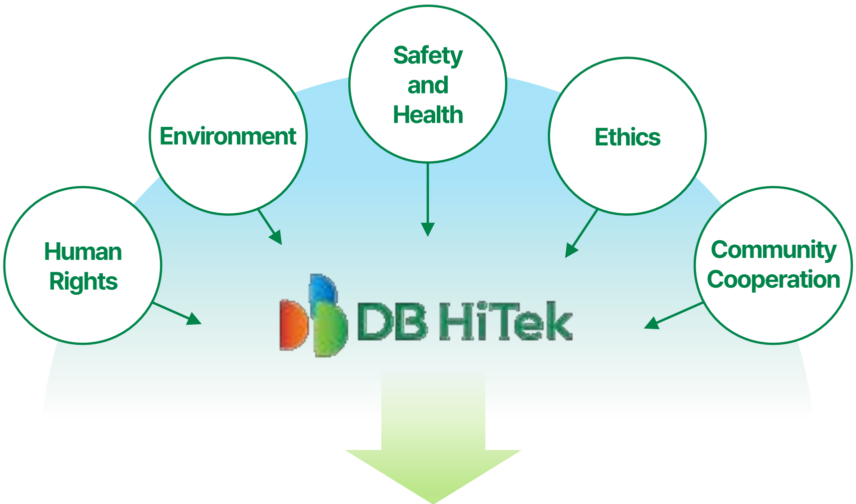
ESG 3.0 — Advancement of a Unique ESG Management (2030~)
- ✓ Achieve a system of positive cycle for ESG management
- ✓ Integration of business and ESG strategy
- ✓ Increase corporate value through differentiation of ESG management strategies

Sustainability Management

In order for a company to maintain its competitive edge while achieving sustainable growth in the ever changing business environment of today, both internally and externally, it must focus not only on the traditional valuesof economic growth and profit-seeking, but also on environmental protection, improvement of management transparency, ethical management, social responsibility, and other such contributions to the public good.

As a global corporate citizen, DB HiTek has established its Social Responsibility Policy to fulfill its corporate social responsibilities in areas such as human rights, environment, safety & health, and ethical business management. In particular, the 'DBH Code of Conduct' is established in line with the RBA Code of Conduct, the regulatory standard within the semiconductor supply chain, and major projects are being conducted accordingly.

DB HiTek aims to communicate with various stakeholders in a relationship of co-prosperity, while also expanding its corporate value and competitive edge to achieve continuous growth.



Social Responsibility Policy

For a Global corporate citizen, DB HiTek

01	We aim to communicate with our stockholders while creating economic, social and environmental value.
02	We respect the human rights of our company and its partners' executives and employees, and uphold the dignity and value of every individual person.
03	We comply to business ethics with integrity and fairness.
04	We strive to fulfill our corporate responsibilities for the environment, safety, and welfare, and pursue Continuous improvement through periodic evaluations.
05	We strive to fulfill our social responsiblilities for sustainable development by cooperating With our partners and local communities.

Ethical Management

Ethical management refers to a method of business management recognizing ethical responsibilities to stakeholders in a comprehensive manner, including customers, employees, shareholders, suppliers, local communities, nations, and the environment, and applying them as important principles throughout the entire business process.

As a responsible corporate citizen, DB HiTek strives to become a respected company by its stakeholders by prioritizing social benefits and customer value through its ethical management and compliance with fair trade. To this end, we are leading in the establishment of an upstanding culture for ethical management through operating an organization specialized in ethical management directly under the CEO and solidifying the ethical management system.

Cyber Auditor's Office

DB HiTek currently operates a cyber auditor's office to raise awareness regarding ethical management based on the management philosophy for a 'good company'. In addition, all executives and employees are required to sign a pledge to the practice of ethical management every year, and strive to establish a culture of ethical management through proactive, prevention-oriented campaigns.

Classification	2019	2020	2021
Education of Ethical Management No. of Participants	119	66	77
Satisfaction (out of 5)	4.6	4.45	4.5

Policy for Reporting

Every single report is the cornerstone of managing a transparent business. Through the operation of a system for whistleblowing, unreasonable requests, reports of corruption, and requests for system improvement are received and handled transparently. If necessary, disciplinary action is taken into consideration depending on the severity of the matter. In order to ensure confidentiality, the details of the report are kept secret and the information is transparently disclosed to the informant via the report verification number.

Classification	2019	2020	2021
No. of Report	1	3	5
No. of Processed Reports	1	3	5

Education on Corruption Prevention

In order to strengthen voluntary awareness of ethical management and prevent moral hazard and corruption among all employees, we continuously provide education online and offline.

Internal Investigation

In accordance with the related regulation (internal audit regulation), regular/non-regular investigations are conducted by an organization directly under the CEO.

Code of Ethics and Conduct

DB HiTek has presented a value criterion needed for ethical management of business, and is acting upon this value by **establishing a Moral Code for its Code of Conduct in order to create an upstanding organizational culture without any corruption.**

The Moral Code consists of five prefaces and 31 detailed principles, including matters regarding customers, shareholders, employees, local communities and countries, basic ethics of employees, and the Code of Conduct for employees relating to ethical management.

Moral Code and Code of Conduct regarding Ethical Management based on business principles for a good company, in becoming a trusted company to customers and an **excellent workplace** to its employees.

- We shall perform our duties fairly and with pride as members of the DB corporation.
- We shall put customer satisfaction as our top priority in all decisions and for our Code of Conduct, and shall keep our promise.
- We shall commit to protecting the interests of shareholders by acting upon the principles of transparent management.
- We shall comply with all laws and company regulations, protect the company's assets and information, and shall take no actions upon any and all personal interests in connection with our business.
- We shall strive to establish a relationship of respect and trust among all employees for the continuous development of the company.
- We shall constantly strive for self-development, boldly challenge new projects, and become the leading specialists in our field.
- We shall promote co-prosperity with our partners through sound business and take lead in national economic development and environmental protection.

Ethical Purchasing

DB HiTek is highly aware of ethical purchasing being the **source of corporate competitive power**, and is therefore establishing a clean purchasing culture free of corruption, and **conducts fair and transparent purchasing.**

In addition, to become a trusted company to the customers, we actively participate in ethical management and do the utmost to raise awareness regarding purchasing ethics as below.

Basic Guidelines for Purchasing Ethics

- Compensation from stakeholders should not be accepted for any reason, and likewise gifts should be politely declined or returned.
- If any gift is unavoidably received from a stakeholder, it must be reported in accordance with the reporting procedure.
- Likewise, family members of employees within the company should not accept or solicit from stakeholders any gifts they believe to be provided in connection to business.
- The following categories are to be regarded as business-related gifts, including all other acts of bribery recognized within the realm of common sense.

Monetary payment
(all money and gifts including securities),
entertainment, offering of advantages

Loaning
(movable property and real estate),
debt repayment or guarantee of loan contracts

Future guarantees
(promise of hire or arrangement of employment after retirement, promises of future contracts and transactions, etc.)

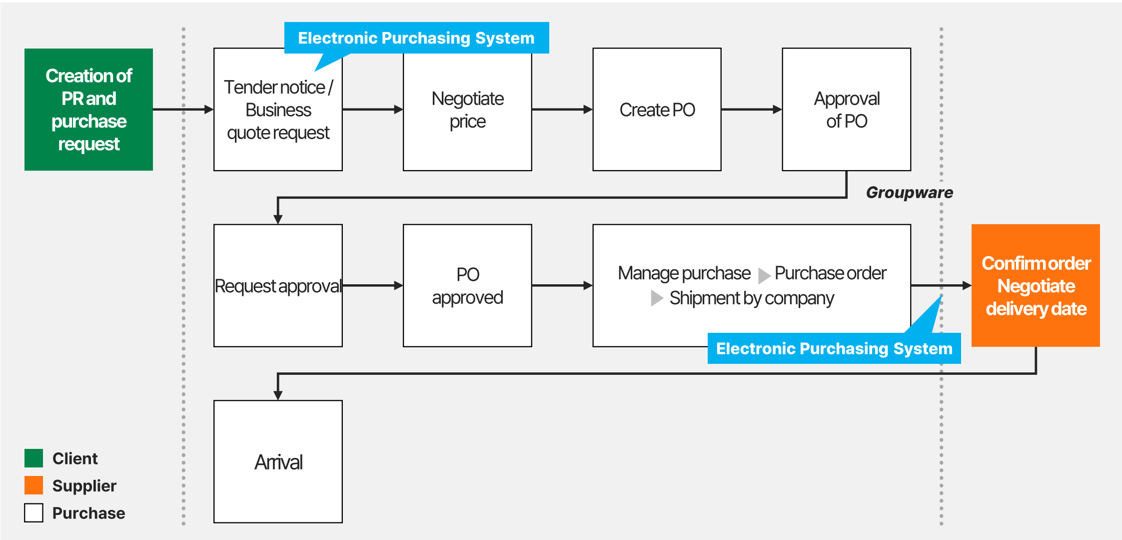
Pledge of Ethical Management of Purchasing

- We shall do our utmost to establish ethical management and succeed in business management based on merit, and shall not engage in any unfair trade or corruption in the course of performing our duties.
- We shall do our utmost to establish ethical management and succeed in business management based on merit, and shall not engage in any unfair trade or corruption in the course of performing our duties.
- We shall observe all laws, regulations, and guidelines related to our duties, and faithfully comply and practice on the ethical management of purchasing.

Ethical Purchasing

DB HiTek uses a **electronic purchasing system** as a means to **establish a clean purchasing culture free of corruption** in order to conduct fair and transparent purchases.

Transparent Business Selection Method Via Bidding Through the Electronic Purchasing System



In order to practice ethical management together with partner companies, DB HiTek is also **required to mutually sign a pledge of purchase ethics when registering a business,** and has established a report system to fill out for any misconduct or corruptions such as request or solicitation of money.

Pledge of Purchase Ethics, Solicitation Report Within the Electronic Purchasing System

Stakeholder Engagement

In order for a company to fulfill its roles and responsibilities as a global corporate citizen, it is important to **communicate with various stakeholders in a transparent manner regarding the major operations of the company.**

This is why DB HiTek **forms a consensus on issues regarding sustainability management with not only employees, but also various stakeholders** such as customers, shareholders, partner companies, local communities, and the media, through various internal and external channels, **for the development of a co-prosperous relationship.**

DB HiTek

Customer

- Quality Management System
- YourFab
- ESG report
- SAQ
- Website

Employee

- Management briefing
- Joint labor-management council
- Intranet bulletin
- Executive message
- Worker Support Program

Shareholder

- General shareholders' meeting
- Electronic voting system
- Performance Disclosure
- Investor Relations (IR) with institutions
- Website
- Shareholder inquiry

Media

- Press release
- In-depth article
- Media coverage support

Government· Institution · Community

- Government meeting
- KSIA
- Metropolitan area chemical safety community
- Regional volunteer center
- Community council

Partners

- Fair Trade Convention
- Shared growth support program
- Cyber Auditor's Office (reporting system)
- Dispute Mediation Committee
- Electronic Purchasing System
- Education on human rights and labor

ESG Management

ESG management **provides direction for the sustainable growth** of a company while helping the company and society develop together. We at DB HiTek understand the importance of **environment, society, and governance** to the sustainable growth of a company, and has **established mid- to long-term goals while making various efforts to this effect in order for the continuously improvement thereof.** DB HiTek shall continue to focus on ESG in the future to minimize management risk and achieve sustainable growth.

ESG rating trends by major domestic evaluation agencies

| Evaluation Agency |

Korea Corporate Governance Service

Classification	2019	2020	2021
Overall Rating	B+	B+	A
Environment	B+	B+	A
Social	A	A	A
Governance	B+	B+	A

※ Rating (7 grades) : S, A+, A, B+, B, C, D

| Evaluation Agency |

Sustinvest

Classification	2019	2020	2021
Overall Rating	AA	AA	AA

※ Rating (7 grades) : AA, A, BB, B, C, D, E

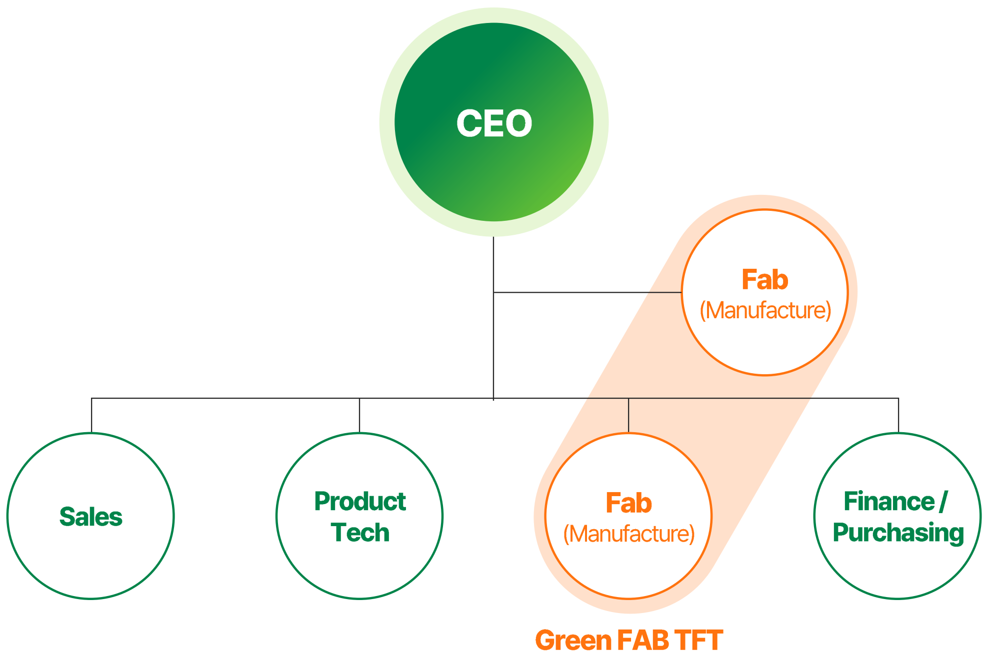
ESH System

Based on the vision of "Great people, Great Technology", DB HiTek is pursuing a zero-accident and eco-friendly management policy in order to go from merely a 'good' company to an excellent one, and hopes to grow with stakeholders through our endeavors together. To this end, we have established and are operating Environment, Safety and Health (hereinafter ESH) standards above the level required by laws and regulations. In addition to strictly complying with local regulations, we are also **expanding on eco-management by advancing environmental management technology, reducing greenhouse gases, reducing waste, and increasing recycling.**

ESH Organization

DB HiTek implements ESH management policies and plans by forming various commissions in which all employees participate and communicate with the ESH team in charge of environment, safety, and health..

ESH Risk Committee



ESH Risk Management Committee

Organization established to promptly transfer major decision-making on ESH to collaborating departments in a top-down structure

Green Fab TFT

If results of major decisions made by ESH are applied to the production site, issues and additional improvements regarding thereof are discussed and implemented

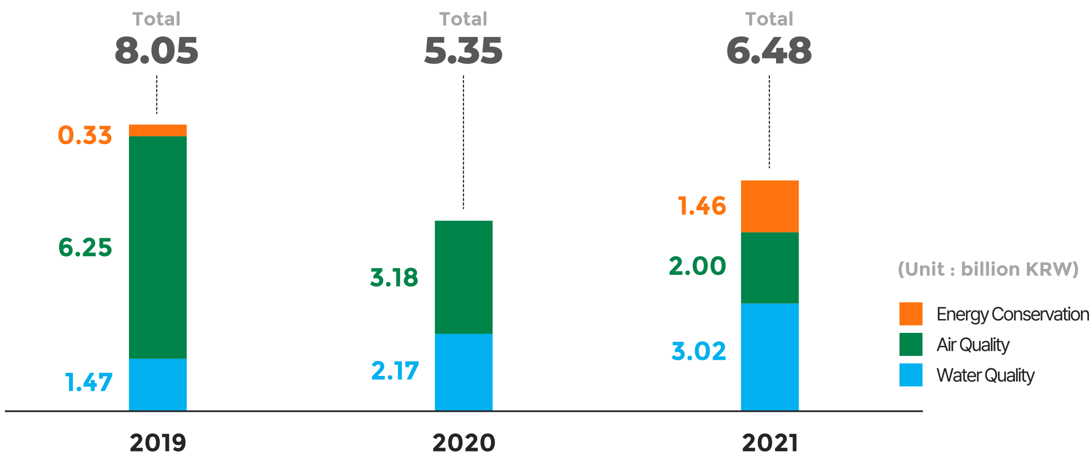
ESH System

Main activities of the ESH organization

Environment	Safety / Fire service	Welfare
Proper operation of air emission and prevention facilities	PSM, Hazard Prevention Plan	Employee health management
Proper handling of hazardous chemicals and education thereof	Suitability of strain/cut/fall hazard and explosion-proof equipment	Evaluation and management of work environment
Monitoring of greenhouse gases emissions and its reduction	Worksite environment (Pathways, illuminance, dust level, etc.)	Assessment of cerebral cardiovascular risks
Appropriate operation of wastewater discharging facilities	Provision of protective equipment and management of its condition, etc.	Risk assessment of musculoskeletal system
Consistency and compliance to other miscellaneous environmental regulations and permits	Permit for dangerous goods and site management	Monitoring of welfare management

ESH Organization

DB HiTek invests in ESH every year in order to continue operating and improving our Environment, Safety and Health system. DB HiTek will continue to make responsible mid- to long-term investments to enhance sustainability in business-related sectors for water quality, air quality, energy conservation, etc.



ESH Operations and Performance

ESH Business Management System

DB HiTek has established and complies with the 'Environmental Safety Policy' for the consistent and unified management of ESH, while also managing such policy via the operating element and performance index of our ESH operation by deducing major factors covering the contents of ISO14001, ISO 45001, and PSM evaluation standards.

ESH Business Management System Operation Components

ESH Business Management

Advancement of ESH management system by regularly measuring and continuously improving ESH performance

Environmental Management

Maintain sustainability through the establishment of environmental Mass Balance of the workplace, and the prior management of environmental impact

Safety and Health Management

Create a safe working environment through continuous discovery of potential risk factors for safety and health

KMR ISO 14001

KMR ISO 45001

PSM (Process Safety Management)

Response to Accidents and Emergencies

In the case of an accident, minimize damage through swift reporting and handling, an emergency response system for the establishment and execution of measures for the prevention of any recurrence

Change Management

Maintain ESH consistency through examining changes to the process conditions, equipment, and chemicals in a punctual manner and without omission

Education/ Training

Focus on the development of positive cycle of reinforcing a culture of voluntary safety through practical ESH education and training

ESH 분야 핵심 성과 지표

ESH Management System Certification Rate 1) (%)

Greenhouse gas intensity 2) (tCO_2eq/EA)

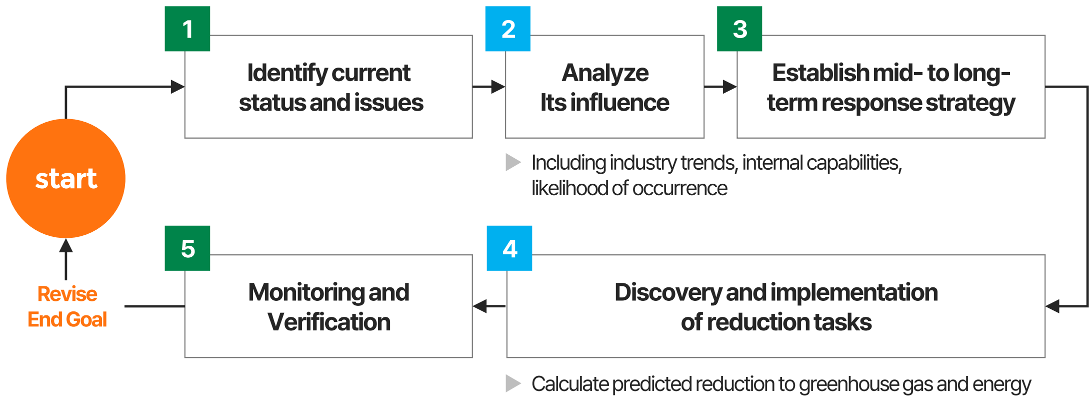
Water Intake (thousand m^3)

Waste Recycling Rate 3) (%)

1) Subject : ISO14001, ISO 45001 / 2) Total emission ÷ wafer production (EA) / 3) Total recycling rate ÷ amount generated

Response to Climate Change

DB HiTek makes every effort to minimize greenhouse gas emission for minimizing its effects on our planet. Global climate change trends and policies, as well as their impact on the company, are **continuously monitored and reflected in our mid- to long-term response strategies.** Our ESH **department encourages the discovery of greenhouse gas reduction tasks optimized for the semiconductor manufacturing process.**



Greenhouse Gases Emissions

The emission of DB HiTek's greenhouse gases are divided into direct emissions, in which process gases are used for the semiconductor cleaning process, and indirect emissions from electricity use. In accordance with the greenhouse gas reduction goal, the usage and emission of process gases are continuously being reduced, and therefore the proportion of direct emissions is decreasing despite the increase in production.

(Unit: tCO_2eq, EA)

Classification	2019	2020	2021
Quantity of Greenhouse Gases Directly Emitted (Scope 1[1)])	141,090	122,241	109,347
Quantity of Greenhouse Gases Indirectly Emitted (Scope2 [2)])	170,963	174,291	175,053
Total Quantity of Greenhouse Gases Emitted [3)]	312,053	296,532	284,400
Wafer Production (EA) [4)]	1,236,939	1,453,074	1,536,433

1) Fuel consumption (LNG), semiconductor process gas, etc.
2) Power consumption
3) Emissions subject to third-party verification by government-accredited institution
4) Production volume disclosed through corporate annual report

Response to Climate Change

Greenhouse Gas Reduction Target

DB HiTek is working to reduce greenhouse gases every year in order to participate in sustainable growth in accordance with the issue of climate change.

Works Regarding Greenhouse Gas Reduction

The semiconductor industry, due to its industry-specific needs, emits greenhouse gases such as perfluorocarbons (PFCs) and sulfur hexafluoride (SF6) during the manufacturing process. DB HiTek evaluates and implements the conversion to gases with a low global warming potential (GWP1)), and likewise continuously researches and invests in replacing/introducing greenhouse gas emission reduction devices (POU Scrubber2)) with more high-efficiency facilities. In addition, through the Greenhouse Gas Reduction TF and Green FAB TF, we are continuously discovering ideas for reducing greenhouse gas emissions and energy consumption in all processes. In particular, we started operating plasma scrubbers starting in 2019, constantly participating in activities that can help reduce greenhouse gas emission.

1) GWP (global warming potential) : The degree of contribution for each greenhouse gas to global warming is expressed based on CO2, meaning a lower value equates to lower impact to global warming

2) POU (point of use) Scrubber : Primary treatment device for the treatment of waste gas emitted from semiconductor processes

Works Regarding Greenhouse Gas Reduction in 2021 – Operation of Plasma Scrubber

- **Name of equipment** Plasma scrubber
- **Manufacturer** Jin System
- **Model** Plasma-04
- **Operating no. of equipment** 20
- **Result of operation** 47,298 tCO_2[3)]

3) Cumulative Value of 2019~2021

Response to Climate Change

Myanmar Cook Stove Project

DB HiTek is actively participating in reducing greenhouse gas emissions to contribute in solving global issues such as greenhouse gas and climate change. In 2020, DB HiTek started distributing cook stoves to the residents of central and northern Myanmar.

With the reduction of cook time due to the high thermal efficiency of these stoves and the subsequently reduced use of firewood, it is expected that there will be a reduction of greenhouse gas emissions. Through this project, we aim to not only secure carbon credits, but also to realize social value (SV) that enhances lives of women by protecting the nature in Myanmar, shortening cooking time, and reducing smoke inhalation during cooking.

Cook Stove Distribution Project

- **Participation period**
  - Aug.31.2019 ~ Dec.31.2020
- **Impact of project**
  - Reduce greenhouse gas emissions
  - Improvement of women's quality of life

Energy Management

Energy Usage Management

DB HiTek operates a company-wide energy/cost reduction TFT, through which the company sets a target for energy conservation, while also continuously discovering ideas for reducing consumption through checking changes in energy consumption and reduction, and invest in such ideas with consideration to economic feasibility and expected reduction. In particular, we are increasing the eco-friendliness of our worksites by introducing eco-friendly, high-efficiency facilities (inverters, transformers, and boilers) for energy efficiency.

Energy Usage Management

DB HiTek constantly conducts energy reduction campaigns to save energy used by employees, and employs them in daily routines, including the use of stairs, keeping PC on standby, and turning off office lights during lunchtime. In addition, we achieve energy reduction goals through regular repair and replacement of old facilities and equipment, replacing the lighting of the workplace with LEDs and replacing outdated facilities with high-efficiency devices (inverters, transformers). We also continuously discover and improve the energy optimization for the utility/production process.

Performance for Reduction in Bucheon / Sangwoo Worksite

LED light replacement	Office lights off	Process optimization
482,200 kW	**253,200 kW**	**2,400 MW**
Reduction of yearly power consumption	Reduction of yearly power consumption	Reduction of yearly power consumption
High efficiency inverter	**High efficiency transformer**	**Fuel consumption optimization**
500,000 kW	**585,000 kW**	**13,300m^3**
Reduction of yearly power consumption	Reduction of yearly power consumption	Reduction of yearly LNG consumption


High efficiency inverter


High efficiency transformer


Change to LED lighting

Water Management

Management Strategy and Works Regarding Reduction

DB HiTek classifies water consumption and wastewater treatment as important risks by taking into consideration of the large amount of water used in the semiconductor manufacturing industry, and is concentrating its capabilities on 3R (Reduce, Reuse, Recycle) operations for reduced water use and its reuse and recycling.

Analyze and monitor production volume and usage throughout the entire water quality management process	Works relating to risk reduction for emergency situations and response management for every scenario	The quality of the final effluent is strictly managed, and is constantly improved for its coexistence with the surrounding ecosystem

In particular, as the amount of used water will inevitably increase consistently following the increasing demand for our product, a Wastewater Reduction TF is formed to monitor the water consumption in the production process, air pollution prevention facilities, and process facilities, and deducing/implementing reduction measures including changes to the process control values, conversion of wastewater treatment methods, optimizing operations, etc. We are also maximizing the water recycling rate through working with structural improvement such as optimizing worksites and building recycling systems.

Reduced water usage in 2020	329,000 m^3	Reduced water usage in 2021	434,000 m^3

Gray Water System (Recycling Facility)

Effect of Use

- Reduction: 434,000 m^3 / year
- Recycling: 311,000 m^3 / year
- Saved Cost: App. 290 million won / year

Management of Waste and Pollutant

Waste Management

In order to minimize waste generated during the manufacturing process, DB HiTek has established and is operating management plans for every process, from designing products with resource efficiency in consideration to the development of the manufacturing process. By inspecting the amount of generated waste and its recycling rate, analyzing waste treatment methods, and exploring methods for increasing recycling rates of work site unable to meet its targets, **our company has achieved a 99% waste recycling rate in 2021.** Our company conducts on-site pre-evaluation during the selection of business partner for safe waste disposal, and checks whether waste is stored and disposed of according to environmental laws and regulations through written and on-site post-evaluation every year after the contract. In addition, **inspections in fire safety are also being done** in order to check whether chemicals wastes such as waste acids and waste organic solvents are safely managed. **By using the 'Allbaro System', a legally approved waste disposal system, wastes generated and discharged from the company are managed safely** until the very end of the process.

Product Development

- Eco Design Evaluation Process
- Development phase evaluation for eco-friendliness (Use of hazardous substances, resource efficiency, etc.)

Waste Discharge

- Establish target for waste recycling rate
- Reinforcement of waste separation and reduction

Transport Waste

- Strengthen management of waste vehicle
- Monitoring of transport time and route

Waste Treatment

- Pre / post evaluation of waste management company (operation capability, management status, etc.)

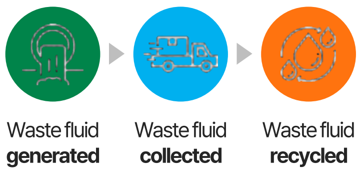
General waste

Designated waste

Stored at designated location
(by category and type)

Reuse of liquid waste

Use water treatment or sell to specialist recycling company for recycling



Eco-Friendly Product

Eco-Friendly Product and Hazardous Chemical Management Process

DB HiTek considers the environmental impact of the whole product production process, from supplying raw material to the manufacturing process, along with quality as a priority. With mid- to long-term eco management goals as a basis, our **company improves the energy efficiency and recyclability of the product and constantly reduces the use of hazardous material through the management of 'eco-design process' and 'eco-friendly product supply chain'** in which eco-friendliness of a product is evaluated from its inception, design, and development phase.

In addition, we are under the process of certification of environmental labeling for certain products, as hosted by the Korea Environmental Industry and Technology Institute under the Ministry of Environment. In the case of new and currently mass-produced products, exposure to hazardous substances is monitored in the entire process, from purchase of raw materials to production and shipment of product. The final product is issued a certificate from an accredited institution every year before being sent to the customers.

Eco-Friendly Product

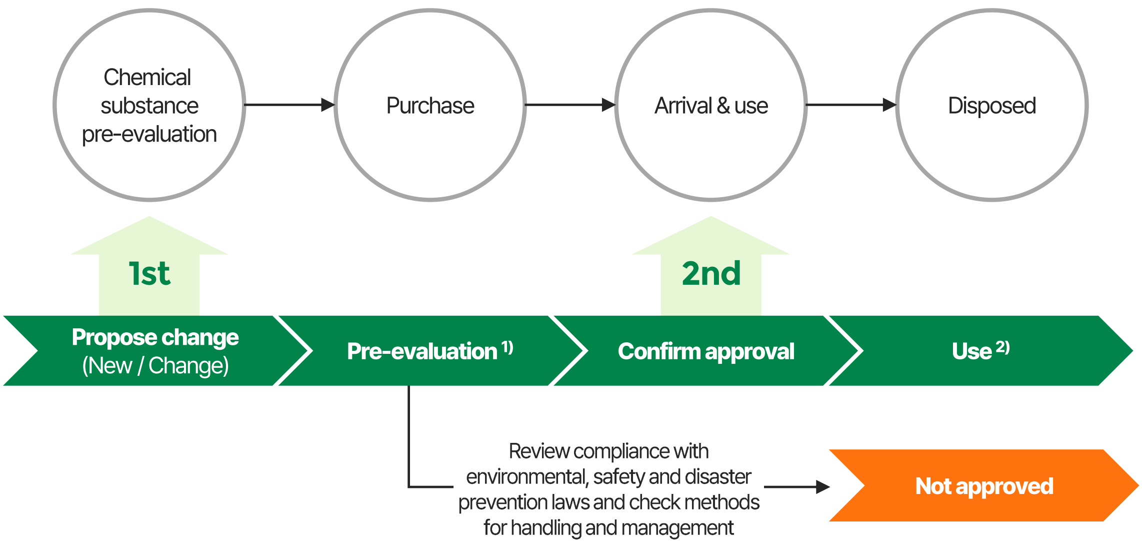
Worksite Chemical Substance - ESH Pre-Evaluation System

DB HiTek operates an ESH pre-evaluation system to comply with chemical substance-related laws and to ensure its safe management and handling. The ESH pre-evaluation applies to all changes in the use of chemicals (new substance/reviews for change) and is a system evaluating all categories of environment, safety, and health. Use is permitted through thorough review of the substances on matters of domestic and foreign laws regarding the control and restriction of the substance, whether there are risks to exposing it to the environment, and for any precautions regarding its handling. The ESH pre-evaluation is conducted twice per substance, from the time of recognizing the proposed change and at the time of executing such proposal when the actual chemical substance is imported. This is to build a safe workplace by minimizing the risks associated with the change and use of chemical substances. DB HiTek will continue to be a safe and reliable company by strengthening the level of chemical management such as ESH pre-evaluation.

Monitoring of Chemicals in Products

All DB HiTek worksites are obligated to comply with EU RoHS (Restriction of Hazardous Substances Directive in Electrical and Electronic Products) and EU REACH (European policy on Registration, Evaluation, Authorization and Restriction of Chemicals similar to The Act on Registration and Evaluation, etc. of Chemicals in Korea), thereby regulating the substances used internally and by our partner company.

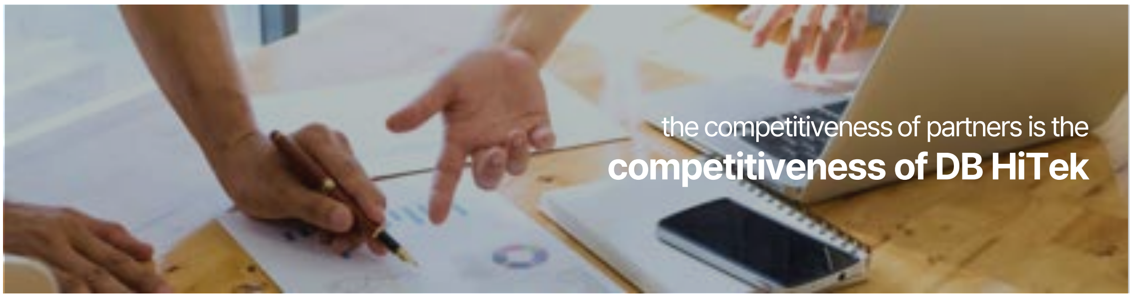
Chemical Substance Management Process



1) In accordance to MSDS(Material Safety Data Sheet), chemical specification sheet, etc.
2) Management and registration in chemical substance management system

Responsible Supply Chain

DB HiTek is seeing shared growth with partner companies of various fields with based on the philosophy stating 'the competitiveness of partners is the competitiveness of DB HiTek'. **We are building a stable, sustainable and responsible supply chain that develops cooperatively with all suppliers.**



Selection Method on New Partner Companies

In order to develop an optimal supply system, DB HiTek strives to find excellent partners and promote quality improvements through a transparent and fair process. For a new supplier to be registered, the necessary information needs to be listed in the integrated purchase management support system for each type of supplier, after which the supplier must pass the examination regarding matters of credit rating / technology / quality / price / delivery date, etc.

Management of Supplier Evaluation

(Annual, Quality / Environment / Purchase Category)

DB HiTek conducts regular evaluations to build a more robust and sustainable supply chain. Once a year, the quality / environment / purchase department analyzes and evaluates the process quality / environmental system / technology / credit rating of partner companies in various fields. In 2012, a total of 40 suppliers were evaluated for 5 competencies, being financial capabilities / cooperation / delivery date/quality management t/ environment.

We continue to promote responsible supply chain management through regular supplier monitoring and due diligence.

Supply Chain Risk Management

DB HiTek identifies risk factors in the supply chain in advance and continuously improves and manages such risks to enhance the sustainability of the entire supply chain.

To effectively manage major risk factors, we are operate an IT-based risk management system and plan to continuously advance this risk management system.

Open Sourcing

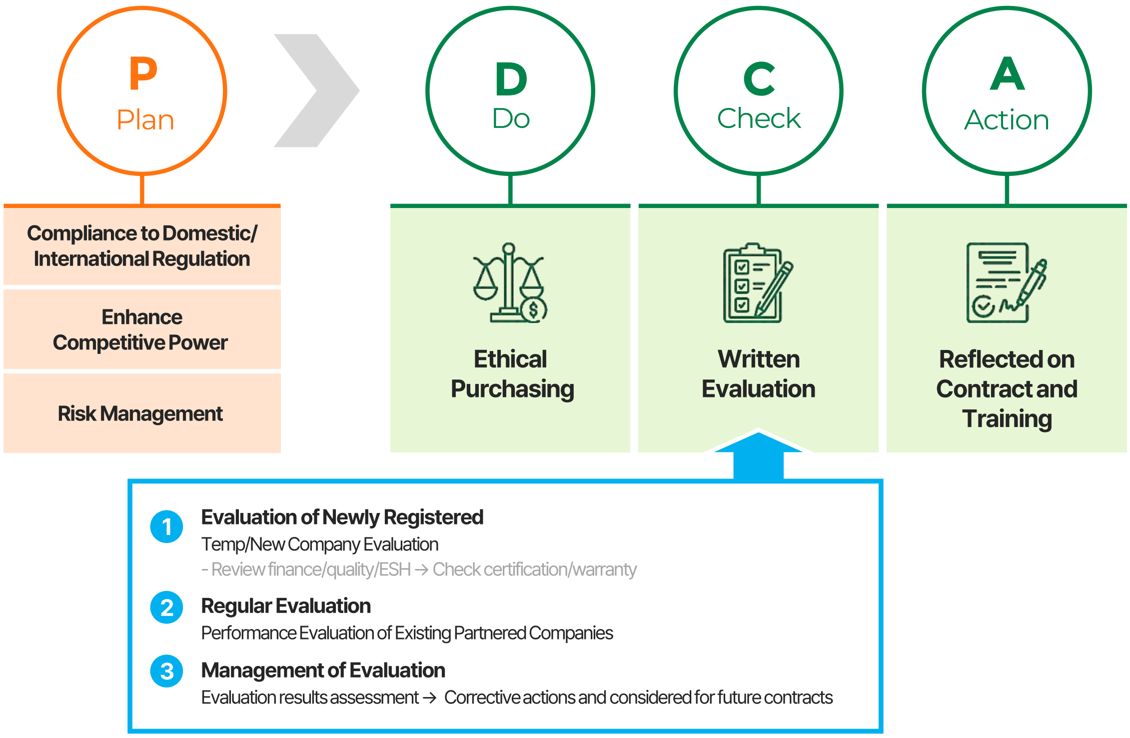
DB HiTek operates an open sourcing system for cost-competitive companies with excellent technology.

For a transparent and fair process, the entire process from the reception of a product and/or technology, evaluation, to application is shared with relevant departments.

ESH Management of Partner Companies

DB HiTek has established and **implemented various support measures based on mutual trust** to promote shared growth with its partner companies (suppliers). Support measures can be distinguished between categories of technical support and educational support. In the case of technical support, technical advice is provided for per each equipment unit/category (water quality, air) unit, and training programs for ESH compliance and safe workplaces are also operated.

Supplier Sustainability Management Process (P-D-C-A cycle)



For sustainable growth with its partner companies, DB HiTek is conducting **ESH evaluation in consideration of 1) transaction size 2) transaction performance 3) ESH evaluation result, and 4) level of sustainable management**. ESH evaluation of the supplier is conducted annually together with the quality/purchase department, and new suppliers must meet certain criteria to register as a supplier such as credit rating, due diligence of ESH, use of hazardous substances, etc. Regular ESH evaluation is conducted only for registered partner companies, and the evaluation results are reflected in future contracts and training. Categories for the EHS evaluation are distinguished into management of ESH management system, hazardous chemical, raw material, etc., and will require checking for management regarding education and training, whether internal auditing is conducted, establishment/implementation of emergency action plans, etc., and, if necessary, on-site evaluation with written evaluations shall also be conducted.

ESH Management of Partner Companies

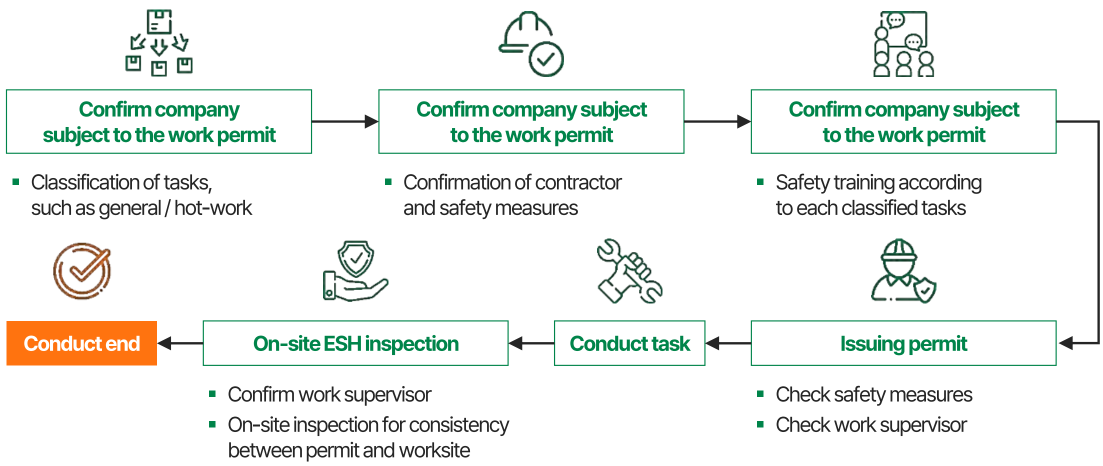
DB HiTek is doing its utmost to establish a Safety and Health Management System through a symbiotic consultation commission with partner companies and to improve self-management capabilities. Through regular meetings with representatives and working-level managers of each company, safety and health trends, sharing of legal revisions and external accidents cases, raising safety awareness (safety education, quarterly joint safety inspection), on-site management (work procedures, work permits, protective equipment, facilities, etc.), improvement to work environment, health check-up and promotion programs, and ESH support operations for risk assessment accreditation are being conducted. In addition, by **supporting risk assessment and improvement operations for identifying potential risk factors exposed to workers of subcontractors for each tasks and processes, such risk factors for workers of subcontractors shall be eliminated, supporting work in a safer and more comfortable environment.**

Co-prosperity Cooperation Program Performance

Classification	Bucheon	Sangwoo
Regular Commission	18	18
Safety Education	214 persons	178 persons

DB HiTek establishes standards and plans, and operates to ensure that construction (work) is carried out in a safe working environment for partner companies. In particular, when performing high-risk work for facility remodeling and repair work, relevant safety education must be completed in accordance with the work procedure, and protection of workers and facilities from potential harmful and dangerous factors through risk assessment must be prioritized to the utmost.

Procedure for Work Permit of Partner Company



ESH Management of Partner Companies

When conducting subcontracts through such meetings while also fulfilling obligations for safety and health measures, we have established and implemented a symbiotic cooperation program for safety and health since 2012 by forming a cooperation commission to **secure the safety and health of in-house partner companies through cooperation and support of the parent company by reinforcing such social responsibility** thereof of the said parent company.

As a result, we have received an A grade (top 10%) in 2021, the best management grade possible By 2021, six of our resident partner companies have also acquired the recognition for excellent workplaces in risk assessment by improving the level of risk assessment for all work processes. DB HiTek will continue to **promote preventions for occupational accident activities by establishing and implementing a joint symbiotic safety and health cooperation program** with partner companies, led by our company, **to improve safety and health at the workplace through conducting risk assessment and technical support operations for our partners.**

Risk Assessment Certificate of Partner Companies

Conflict Minerals

As an ethical company, DB HiTek does not use conflict minerals (3TG, cobalt) produced in the Democratic Republic of Congo and its neighboring conflict zones in order to fulfill its social responsibilities, and strives to comply with the OECD due diligence guidelines. Certain groups within conflict zones are violating human rights in order to mine conflict minerals, and the funds generated from such minerals flow into armed forces of the country to be used as tools to engage in more violations against human rights.

DB HiTek ensures that conflict minerals related to such armed forces in conflict zones are not included in the supply chain for its products.

Major Policy

Policy 1	In order to supply raw materials to DB HiTek, it is necessary to prove that it is not a conflict mineral by submitting a pledge of non-use of conflict minerals (3TG) and responsible minerals (Cobalt).
Policy 2	DB HiTek regularly provides partner companies with a list of certified smelteries to ensure that RMAP requirements are met and maintained, and the results are provided to customers.
Policy 3	We are putting our utmost effort in establishing a stable supply chain by continuously updating domestic and international conflict minerals regulations.

DB HiTek will continue to actively participate in international efforts to ban the use of conflict minerals, fulfilling its social and ethical responsibilities to protect human rights in the Democratic Republic of Congo and its neighboring countries.

- **Request pledge of nonuse from suppliers of raw material to not use minerals from conflict zones**
- **Maintenance Through Regular Status Inquiry**
  - ✓ Provide regularly updated list of certified smelteries to raw material suppliers and check current status
  - ✓ When checking non-certified smelteries, request for improvement and monitoring of current status
- **In the process of detailed operations regarding conflict minerals, listen to various VOCs from raw material suppliers for improving process**

Governance

DB HiTek operates its Board of Directors under the principles of transparent and responsible management so as to allow rational and fair decisions. The Board of Directors is the highest decision-making body of DB HiTek and determines the company's core management goals and policies.

The Board of Directors decides on matters stipulated by laws or the articles of incorporation, matters delegated through the general meeting of shareholders, and important matters related to the basic company management policy and business execution to aid the management in making correct decisions and supervise the execution of duties by directors.

DB HiTek's Board of Directors consists of a total of 6 directors including 2 internal directors and 4 external directors. By maintaining the ratio of external directors at over 50% of the total number of directors, we strive to reinforce the independence of the BOD by establishing a transparent and sound governance structure.

Board of Directors (as of March 2022)

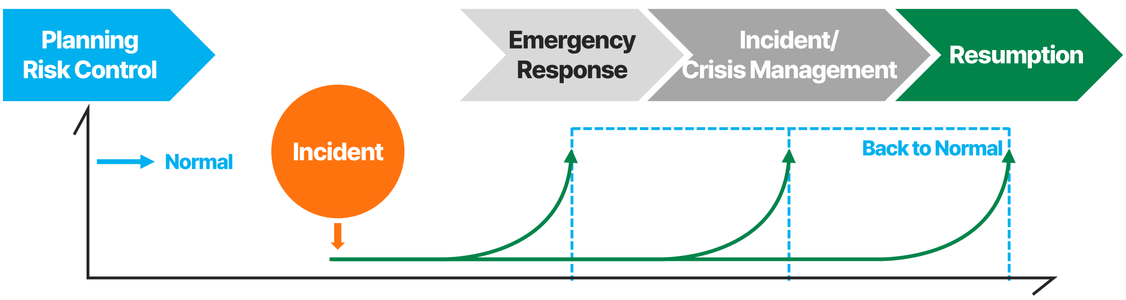
Classification	Name	Major career achievements
Executive Director	Chang-sik Choi	▪ (Current) DB Hitech Vice President of BOD, CEO(▪ (Former) Samsung Electronics System LSI Manufacturing Center Chief
	Seung-joo Yang	▪ (Current) DB HiTek Business Support Dept. Chief, CFO ▪ (Former) President of Samsung Techwin USA
External Director	Jun-dong Kim	▪ (Current) Advisor, Sejong Law Firm ▪ (Former) Head of Planning and Coordination Office, Ministry of Trade, Industry and Energy
	Hong-gun Choi	▪ (Current) Emeritus Professor, Korea Polytechnic University ▪ (Former) Commissioner of the Korean Intellectual Property Office, Vice Minister of Commerce, Industry and Energy
	Gyu-won Oh	▪ (Former) Director, Korea Development Bank ▪ (Former) Vice President of Finance, Dongbu Group
	Chul-seong Hwang	▪ (Current) Full member of the Korean Academy of Science and Technology ▪ (Former) Director of the Seoul National University Semiconductor Research Center

Risk Management

DB HiTek is striving to proactively and preemptively respond to and systematically manage risks, as uncertainty and various risk factors are increasing in the rapidly changing global business environment. DB HiTek seeks to minimize management risks by integrating and managing various risk factors and crises that may affect achieving the business goals of the company. Through an effective risk management system, the committee creates a foundation for sustainable growth, and shall maintain and develop it thereof.

Business Continuity Management (BCM)

DB HiTek enacts on various measures to proactively prevent the inflow of environmental, social, and facility risks including extreme weathers, natural disasters, regional terrorism, and infectious diseases. Even with an unavoidable accident, the company establishes a business continuity management system so as to supply the products and services as agreed upon in order to provide to our customers within the agreed date by minimizing damage and shortening the time from the occurrence of such accidents to the normalization of operations.



Prevention /Preparedness	Response Emergency/ Disaster	<6hours	<4days	Resumption
▪ Training basic/ monthly Joint with 119 evacuation ▪ Engineering & procedural controls ▪ Emergency scenario ▪ Contingency plan ▪ Incident protocol ▪ Store emergency supplies	▪ Cases of Emergencies - Fire - Toxic Gas Leak - Chemical Leak - Water Leak - LNG Leak - Voltage Sag - Black-out - Other Natural Disaster - IT Problem - Inline Problem	▪ Prepare notification ▪ Develop emergency response capability ▪ Evacuation ▪ Execution of emergency response ▪ Identify utility shutoffs	▪ Decision-making responsibilities ▪ Communicating with public agencies, supplier, customers ▪ Decide alternative manufacturing ▪ Develop damage clear-up, and the other teams	▪ Prepare a clear action ▪ Critical staff (administration &Operations), equipment, and services ▪ Identify alternate ▪ Activate an employee assistance program

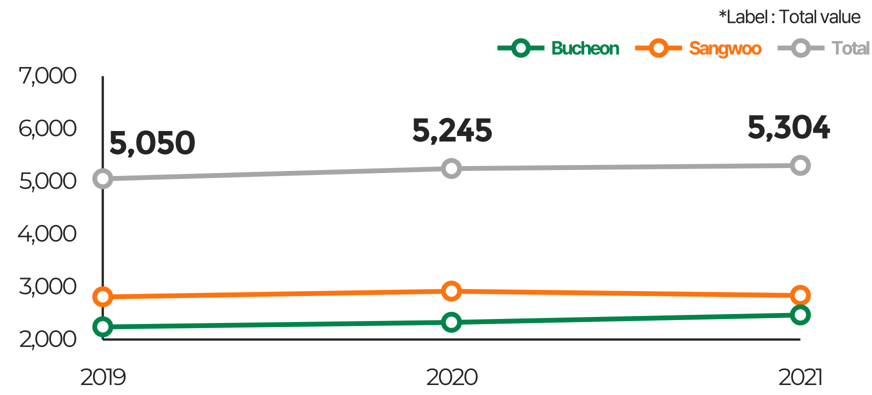
Appendix

Key Performance Indicator for ESG Management

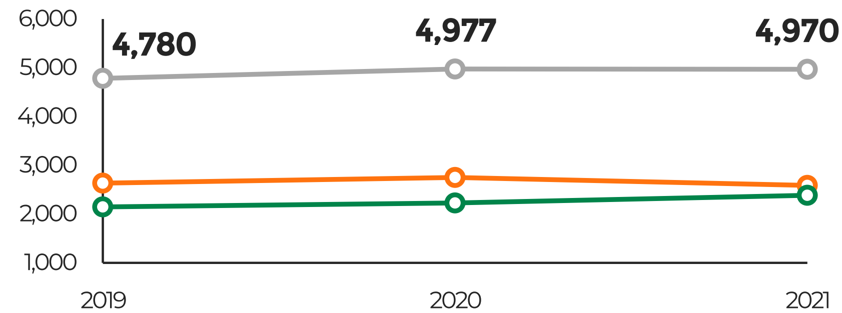
Water Quality Management

DB HiTek takes high priority in managing water pollutants by conducting environmental reviews for introducing new equipment, changing processes, moving existing equipment, and any other changes in order to reduce water pollutant emissions. In addition, an in-company standard stricter than legal requirements is established and maintained through the TMS (Tele Monitoring System), an automatic monitoring system for effluent quality.

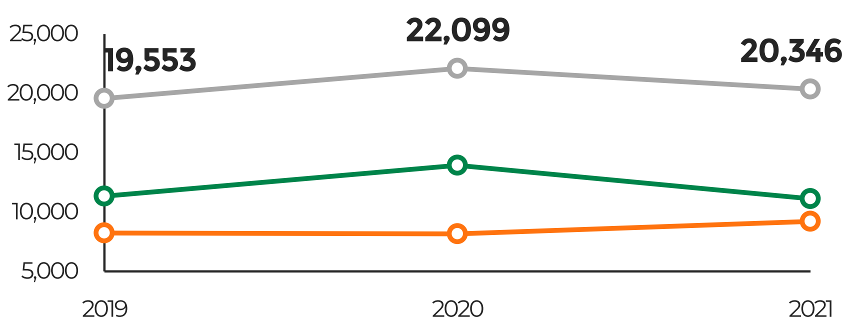
Water Intake By year
(thousand m^3)



Wastewater discharge By year
(thousand m^3)



Water pollutants Discharged By year
(COD, kg)



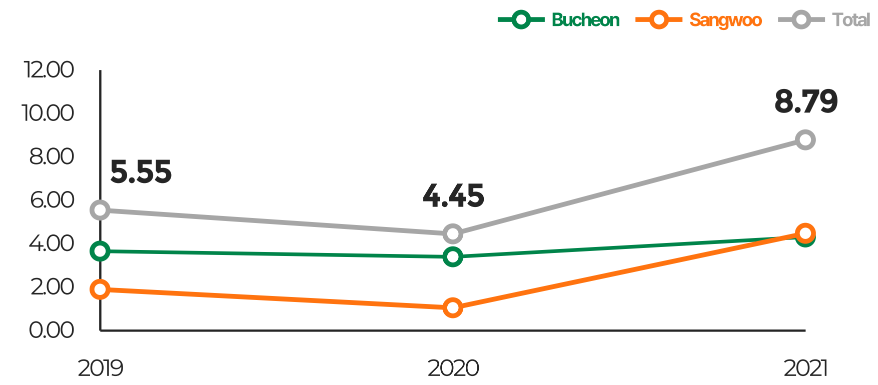
Key Performance Indicator for ESG Management

Management of Air Quality

DB HiTek minimizes the impact on the air quality by establishing and maintaining an in-company standard stricter than legal requirements by implementing the optimal treatment method for exhaust gas generated from the semiconductor manufacturing process, according to the characteristics of the exhaust gas: wet, oxidized, adsorbent, etc. In addition, substances that deplete the ozone layer as stipulated in the Montreal Protocol are eliminated, while use of halon fire extinguishing facilities are prohibited in accordance to internal regulations, with alternative fire extinguishing agents mainly implemented to new and modified facilities.

*Label : Total value

By year Air pollutants Discharged (ton)

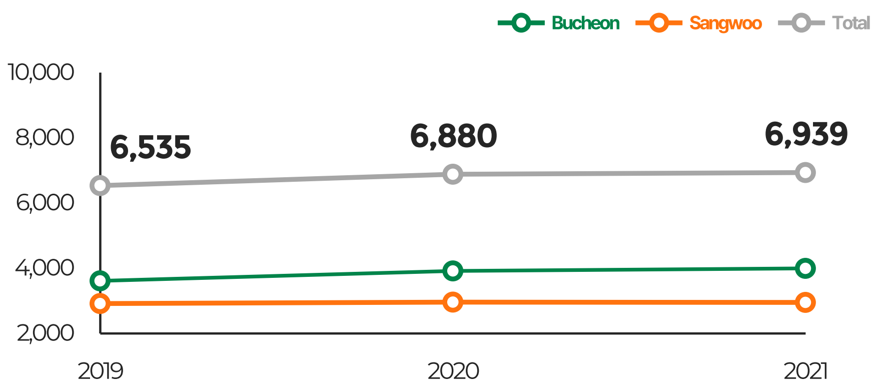


Management on the Use of Hazardous Substance

DB HiTek strives to reduce pollutant emissions by continuously reducing the amount of harmful substances used through the improvement of processes and its optimization.

*Label : Total value

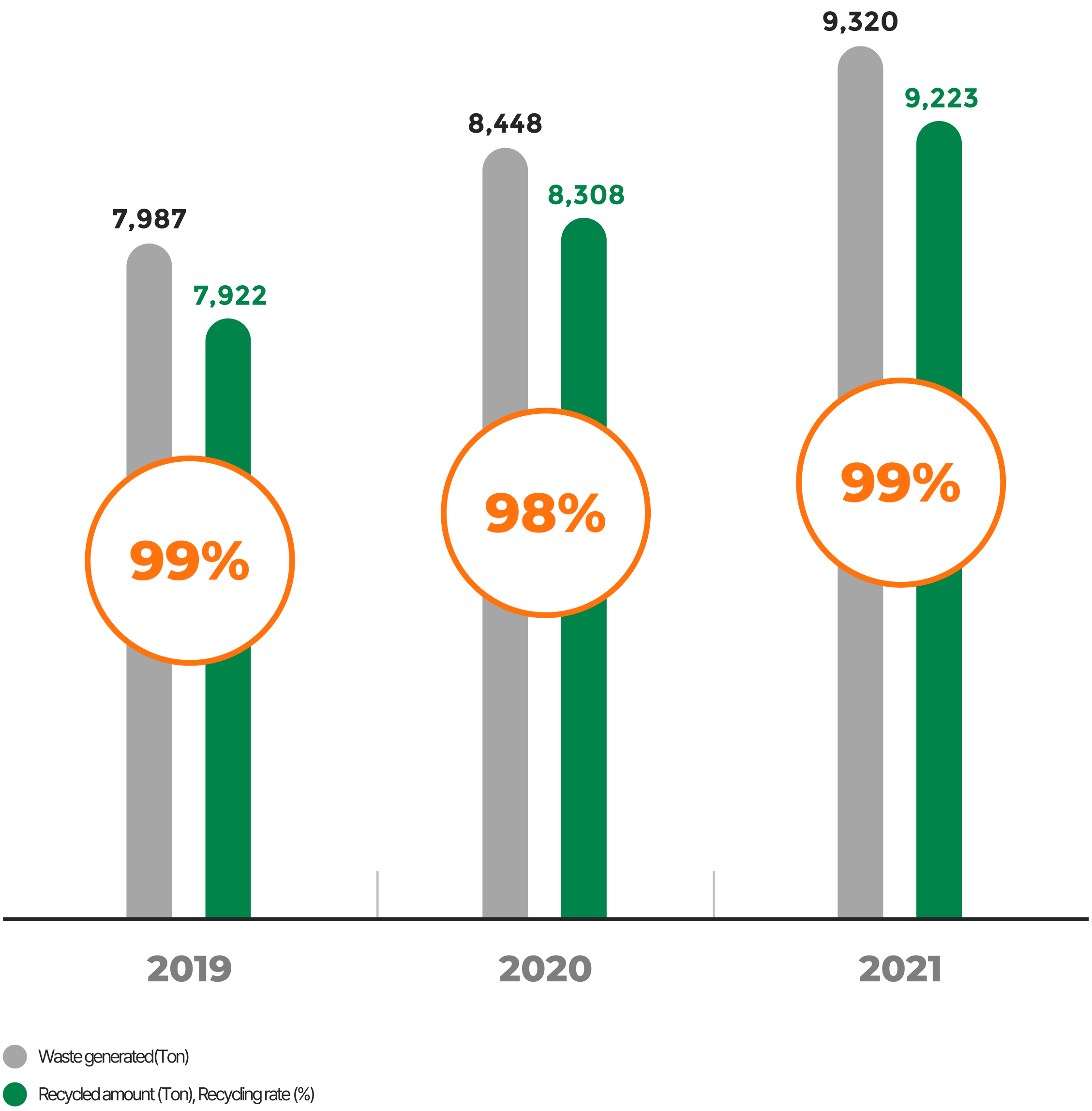
Poisonous substance used (ton)



Key Performance Indicator for ESG Management

Waste Discharge and Recycling Rate

DB HiTek aims to reuse waste through waste separation and by operating a recycling center for parts, and continuously reduces the amount of waste per unit by identifying and improving on-site problems. Our company is making active efforts in introducing new recycling technologies so that the waste generated by our company can be recycled as new resources rather than as discarded waste. We share our methods of technical support and environmental management techniques through regular evaluation and training with waste treatment companies.



Materiality Analysis and Core issue

For the company's sustainable growth, it is important for the strategic management of issues in **various economic, environmental, and social fields.** DB HiTek identifies and responds to issues related to business-related sustainability management. In order to transparently communicate with stakeholders, the following material issues are analyzed and disclosed in the ESG report.

First, an issue pool is formed based on domestic and foreign media, industry benchmarking, global sustainability management standards and initiatives, expert opinions, etc. Afterwards, the prioritization of such issues is determined by comprehensively considering the impact on stakeholders and the company's business in aspects that are economic, social, and environmental. The major issues that are derived are actively addressed through annual response plans and mid- to long-term plans, and are being used as major tools for sustainable management growth.

Materiality Analysis Procedure

Matrix diagram for 32 major issues.
Consideration of business impact (internal) vs stakeholder interest (external).

Survey period (online)	May 16th(Mon) 2022 ~ May 20th (Fri)
Consideration of business impact (internal)	190 employees survey result + internal strategic tasks
Stakeholder interest (external)	83 external survey results + domestic and foreign CSR standards + benchmarking + media research

Environment Analysis

- CSR Standard Analysis
- Benchmarking
- Media research
- Strategic tasks

Materiality Analysis

- Relevance evaluation
  - Issues in deriving environmental analysis results
- Signification evaluation
  - In/external stakeholders survey

Derive Major Issue

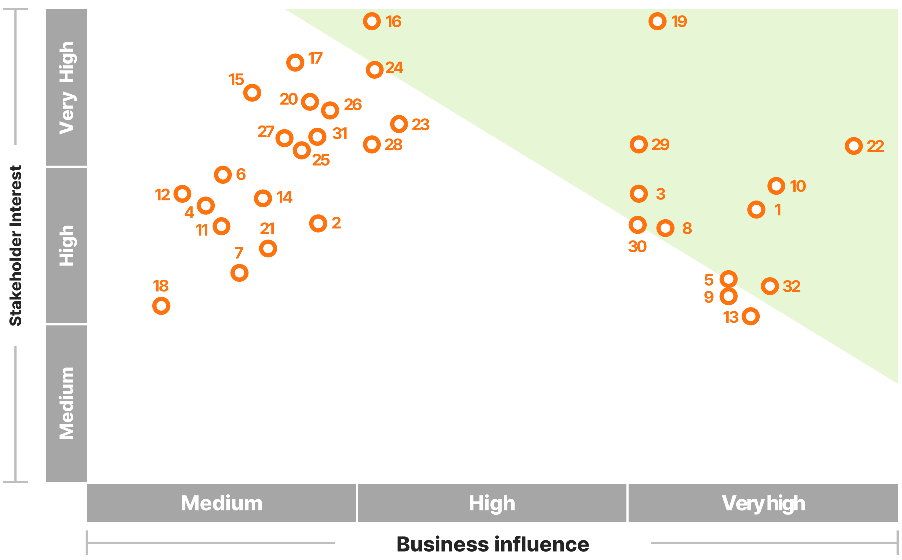
- Validate
- Plan ESG report

DB HiTek selected the final 10 material issues in its business activities as the key reporting issues in the ESG report, as follows.

Order	Issue	Area
1	Improving employee welfare	Social
2	Strengthening shared growth with partner companies	Social
3	Promoting social contribution by employees	Social
4	Establishing a risk management system	Environment
5	Establishing ESG goals and mid- to long-term roadmaps	Governance
6	Managing chemical substances	Environment
7	Establishing and operating a sustainability management committee	Governance
8	Strengthening information security	Social
9	Expanding eco-friendly investment	Environment
10	Certifying eco-friendly product	Environment

Materiality Analysis and Core issue

중대성 평가 Matrix



Issue	Code	Details
Governance	1	Establishing ESG goals and mid- to long-term roadmaps
	2	Securing transparency and independence in the composition and operation of the board of directors
	3	Establishing and operating a sustainability management committee
	4	Reinforcing stakeholder communication and participating in management
	5	Protecting shareholder rights
Environment	6	Establishing eco-friendly strategies and policies
	7	Education and raising awareness regarding the environment
	8	Expanding eco-friendly investment
	9	Indexation of environmental and safety goals
	10	Establishing a risk management system
	11	Enhancing energy efficiency
	12	Managing water consumption
	13	Protecting natural ecosystems
	14	Works Regarding Greenhouse Gas Reduction
	15	Reducing waste and recycling
	16	Managing chemical substances
Economics	17	Creating and distributing economic value
	18	Expanding community infrastructure
	19	Strengthening shared growth with partner companies
	20	Ethical management revitalization
	21	Establishing a culture of fair competition
Social	22	Improving employee welfare
	23	Securing excellent manpower
	24	Reinforcing workplace safety
	25	Advancing the emergency response system
	26	Strengthening of employees' capabilities
	27	Promoting diversity of employees
	28	Protection of human rights and respect
	29	Promoting social contribution by employees
	30	Certifying eco-friendly product
	31	Enhancing product and service quality
	32	Strengthening information security

SASB Index

Sustainability Accounting Standards Board (SASB) Comparison Table

Sustainability Disclosure Topics & Accounting Metrics

Type of Business –SEMICONDUCTORS

Classification	Index	Code	Page	Note
Greenhouse gas emission	(1) Gross global Scope 1 emissions (2) Total emissions from PFCs	TC-SC-110a.1	19	
	Discussion of long-term and short-term strategy or plan to manage Scope 1 emissions, emissions reduction targets, and an analysis of performance against those targets	TC-SC-110a.2	20	
Energy management during manufacturing	(1) Total energy consumption, (2) General Grid Power Ratio, (3) Rate of renewable energy	TC-SC-130a.2		None
Water management	(1) Total water supply, (2) Total water consumption (including ratio of water-stressed nations within each index)	TC-SC-140a.2	23,56	
Waste management	Amount of hazardous waste from manufacturing, percentage recycled	TC-SC-150a.1	24,58	
Worker health and safety	Description of efforts to assess, monitor, and reduce exposure of employees to human health hazards	TC-SC-320a.1	42-44	
	Total amount of monetary losses as a result of legal proceedings associated with employee safety and health violations	TC-SC-320a.2		None
Supply of raw materials	Description of the management of risks associated with the use of critical materials	TC-SC-440a.1	31	
IP protection and contention	Total monetary losses as a result of legal proceedings associated with anticompetitive behavior regulations	TC-SC-520a.1		None

GRI Standards

GRI 102 General Information

Classification	Index		Page	Note
Organizational profile	102-1	Name of the organization	4	
	102-2	Activities, brands, products, and services	4	
	102-3	Location of headquarters	6	
	102-4	Location of operations	6	
	102-5	Ownership and legal form		Annual Report
	102-6	Market served	6	
	102-7	Scale of the organization	32	
	102-8	Information on employees and other workers	32	
	102-9	Supply chain	27	
	102-10	Significant changes to the organization and its supply chain		Annual Report
	102-11	Precautionary Principle or approach	35, 42-44	
	102-12	External initiatives		About This Report
	102-13	Membership of associations	37	
Strategy	102-14	Statement from senior decision-maker	3	
	102-15	Key impacts, risks, and opportunities	3-5	
Ethics and integrity	102-16	Values, principles, standards, and norms of behavior	12-13	
	102-17	Mechanisms for advice and concerns about ethics	10-13, 34	
Governance	102-18	Governance structure	51	
	102-22	Composition of the highest governance body and its committees	51	
	102-28	Evaluating the highest governance body's performance	52	
	102-34	Nature and total number of critical concerns	59	
Stakeholder Engagement	102-40	List of stakeholder groups	14	
	102-41	Collective bargaining agreements	34	
	102-42	Identifying and selecting stakeholders	14	
	102-43	Approach to stakeholder engagement	14	
	102-44	Key topics and concerns raised	59	
Reporting practice	102-45	Entities included in the consolidated financial statements		Annual Report
	102-46	Defining report content and topic Boundaries	59	
	102-47	List of material topics	59	
	102-48	Restatements of information	6-7, 15, 17-21, 32, 56-58	
	102-49	Changes in reporting	77	About This Report
	102-50	Reporting period	77	About This Report
	102-51	Date of most recent report	77	About This Report
	102-52	Reporting cycle	77	About This Report
	102-53	Contact point for questions regarding the report	77	About This Report
	102-54	Claims of reporting in accordance with the GRI Standards	77	About This Report
	102-55	GRI content index	62-63	
	102-56	External assurance	65-67	

GRI 103 Management Approach

Classification	Index		Page	Note
Management Approach	103-1	Explanation of the material topic and its Boundary	59	
	103-2	The management approach and its componets	8-11	
	103-3	Evaluation of the management approach	8-11	

GRI Standards

Topic Specific Standards

GRI 200 Economy

Classification	Index		Page	Note
Organizational profile	201-1	▪ Direct economic value generated and distributed	8	
	201-2	▪ Financial implications and other risks and opportunities due to climate change	21-22	
Anti-corruption	205-1	▪ Operations assessed for risks related to corruption	38	
	205-2	▪ Communication and training about anti-corruption policies and procedures	37-38	

GRI 300 Environment

Classification	Index		Page	Note
Energy	302-4	▪ Reduction of energy consumption	22	
Water and Effluents	303-1	▪ Interactions with water as a shared resource	56	
	303-3	▪ Water withdrawal	56	
	303-5	▪ Water consumption	56	
Emissions	305-1	▪ Direct (scope 1) GHG emissions	19	
	305-2	▪ Energy indirect (scope 2) GHG emissions	19	
	305-5	▪ Reduction of GHG emissions	20	
Waste	306-1	▪ Waste generation and significant waste-related impacts	18,24	
	306-2	▪ Management of significant waste-related impacts	18,24	
	306-3	▪ Waste generated	24	
	306-4	▪ Waste diverted from disposal	24	
Compliance	307-1	▪ Non-compliance with environmental laws and regulations	17	
Supplier Environmental Assessment	308-1	▪ New suppliers that were screened using environmental criteria	28-30	
	308-2	▪ Negative environmental impacts in the supply chain and actions taken	28-30	

GRI 400 Society

Classification	Index		Page	Note
Employment	401-1	▪ New employee hires and employee turnover		Annual Report
	401-2	▪ Benefits provided to full-time employees that are not provided to temporary or part-time employees	45-46, 48-49	
	401-3	▪ Parental leave	47	
Occupational Health and Safety	403-1	▪ Occupational health and safety management system	16, 18, 28-30	
	403-2	▪ Hazard identification, risk assessment, and incident investigation	42-44	
	403-3	▪ Occupational health services	42-44	
	403-4	▪ Worker participation, consultation, and communication on occupational health and safety	42-44	
	403-5	▪ Worker training on occupational health and safety	42-44	
	403-6	▪ Promotion of worker health	45-46	
	403-7	▪ Prevention and mitigation of occupational health and safety impacts directly linke d by business relationships	42-44	
Diversity and Equal Opportunity	405-2	▪ Ratio of basic salary and remuneration of women to men		Annual Report
Non-discrimination	406-1	▪ Incidents of discrimination and corrective actions taken	69	
Freedom of Association and Collective Bargaining	407-1	▪ Operations and suppliers in which the right to freedom of association and collectiv e bargaining may be at risk	69	
Child Labor	408-1	▪ Operations and suppliers at significant risk for incidents of child labor	68	
Forced or Compulsory Labor	409-1	▪ Operations and suppliers at significant risk for incidents of forced or compulsory labor	68	
Security Practices	410-1	▪ Security personnel trained in human rights policies or procedures	34	
Human Rights Assessment	412-1	▪ Operations that have been subject to human rights reviews or impact assessment	34	
	412-2	▪ Employee training on human rights policies or procedures	34	
Local Communities	413-1	▪ Operations with local community engagement, impact assessments, and development programs	10, 50	
Supplier Social Assessment	414-1	▪ New suppliers that were screened using social criteria	27-30	
	414-2	▪ Negative social impacts in the supply chain and actions taken	27-30	

UN SDGs Index

UN SDGs-linked Activities

As a global corporate citizen, DB HiTek carries out various activities to achieve UN Sustainable Development Goals (SDGs), considered to be the largest common goal. UN SDGs is implemented by 2030 and it consists of 17 goals and 169 detailed targets.

	Direction	Key Operations
3	We strive to minimize the negative effects of hazardous chemicals. We strive to create a safe and healthy workplace where all Employees may work without worrying about safety risks	▪ Certified as Excellent Workplace ▪ Safety and Health Education System ▪ Establishment of Prevention and Response System ▪ for Musculoskeletal Disorders Health Care Program
5	We do our utmost in providing a variety of ways to create a good working environment for women and to improve their quality of life.	▪ Maternity Protection Policy ▪ Certified as family-friendly company
6	Reflecting on the large consumption of water by the semiconductor manufacturing industry, we are concentrating our capabilities on the 3R activities of reducing, reusing, and recycling water resources.	▪ Intensive management of water pollutants ▪ TMS(Tele Monitoring System)
8	We strive to increase economic productivity through continuous technological improvement and innovation.	▪ Semiconductor equipment and material performance evaluation project ▪ Pattern-Wafer support project ▪ Program for technology improvement suggestion for partner companies
12	We are committed to a responsible, sustainable production by minimizing our environmental impact through recycling waste.	▪ 99% waste recycling rate achieved Allbaro System ▪ Operation of parts recycling center
13	Reduction in greenhouse gas emissions to contribute in solving global issues such as greenhouse gas and climate change.	▪ Works Regarding Greenhouse Gas Reduction Green FAB TF ▪ Myanmar Cook Stove Project
17	We are committed to the shared growth of our partner companies of various fields based on the philosophy of co-prosperity, 'the competitiveness of partners is the competitiveness of DB HiTek'.	▪ Shared Growth Support Program Responsible Supply Chain ▪ Co-prosperity Cooperation Performance

Independent Assurance Statement

To readers of 2021-2022 DB HiTek ESG Report

Introduction

Korea Management Registrar (KMR) was commissioned by DB HiTek to conduct an independent assurance of its 2021-2022 ESG Report (the "Report"). The data and its presentation in the Report is the sole responsibility of the management of DB HiTek. KMR's responsibility is to perform an assurance engagement as agreed upon in our agreement with DB HiTek and issue an assurance statement.

Scope and Standards

DB HiTek described its sustainability performance and activities in the Report. Our Assurance Team carried out an assurance engagement in accordance with the AA1000AS v3 and KMR's assurance standard SRV1000. We are providing a Type 2, moderate level assurance. We evaluated the adherence to the AA1000AP (2018) principles of inclusivity, materiality, responsiveness and impact, and the reliability of the information and data provided using the Global Reporting Initiative (GRI) Index provided below. The opinion expressed in the Assurance Statement has been formed at the materiality of the professional judgment of our Assurance Team.

Confirmation that the Report was prepared in accordance with the Core Options of the GRI standards was included in the scope of the assurance. We have reviewed the topic-specific disclosures of standards which were identified in the materiality assessment process.

■ GRI Sustainability Reporting Standards

■ Universal Standards

■ Topic Specific Standards

- GRI 303: Water
- GRI 305: Emissions
- GRI 306: Waste
- GRI 401: Employment
- GRI 405: Diversity and Equal Opportunity
- GRI 410: Security Practices
- GRI 413: Local Communities
- GRI 414: Supplier Social Assessment

As for the reporting boundary, the engagement excludes the data and information of DB HiTek' partners, suppliers and any third parties.

Independent Assurance Statement

KMR's Approach

To perform an assurance engagement within an agreed scope of assessment using the standards outlined above, our Assurance Team undertook the following activities as part of the engagement:

- reviewed the overall Report;
- reviewed materiality assessment methodology and the assessment report;
- evaluated sustainability strategies, performance data management system, and processes;
- interviewed people in charge of preparing the Report;
- reviewed the reliability of the Report's performance data and conducted data sampling;
- assessed the reliability of information using independent external sources such as Financial Supervisory Service's DART and public databases.

Limitations and Recommendations

KMR's assurance engagement is based on the assumption that the data and information provided by DB HiTek to us as part of our review are provided in good faith. Limited depth of evidence gathering including inquiry and analytical procedures and limited sampling at lower levels in the organization were applied. To address this, we referred to independent external sources such as DART and National Greenhouse Gas Management System (NGMS) and public databases to challenge the quality and reliability of the information provided.

Conclusion and Opinion

Based on the document reviews and interviews, we had several discussions with DB HiTek on the revision of the Report. We reviewed the Report's final version in order to make sure that our recommendations for improvement and revision have been reflected. Based on the work performed, it is our opinion that the Report applied the Core Option of the GRI Standards. Nothing comes to our attention to suggest that the Report was not prepared in accordance with the AA1000AP (2018) principles.

Inclusivity

DB HiTek has developed and maintained different stakeholder communication channels at all levels to announce and fulfill its responsibilities to the stakeholders. Nothing comes to our attention to suggest that there is a key stakeholder group left out in the process. The organization makes efforts to properly reflect opinions and expectations into its strategies.

Materiality

DB HiTek has a unique materiality assessment process to decide the impact of issues identified on its sustainability performance. We have not found any material topics left out in the process.

Independent Assurance Statement

Responsiveness
DB HiTek prioritized material issues to provide a comprehensive, balanced report of performance, responses, and future plans regarding them. We did not find anything to suggest that data and information disclosed in the Report do not give a fair representation of DB HiTek actions.

Impact
DB HiTek identifies and monitors the direct and indirect impacts of material topics found through the materiality assessment, and quantifies such impacts as much as possible.

Reliability of Specific Sustainability Performance Information
In addition to the adherence to AA1000AP (2018) principles, we have assessed the reliability of economic, environmental, and social performance data related to sustainability performance. We interviewed the in-charge persons and reviewed information on a sampling basis and supporting documents as well as external sources and public databases to confirm that the disclosed data is reliable. Any intentional error or misstatement is not noted from the data and information disclosed in the Report.

Competence and Independence
KMR maintains a comprehensive system of quality control including documented policies and procedures in accordance with ISO/IEC 17021·2015 - Requirements for bodies providing audit and certification of management systems. This engagement was carried out by an independent team of sustainability assurance professionals. KMR has no other contract with DB HiTek and did not provide any services to DB HiTek that could compromise the independence of our work.

Aug. 2022 Seoul, Korea

kmr 한국경영인증원 Korea Management Registrar

SRV1000 Sustainability Committee Assurance

AA1000 Licensed Report 000-129/V3-UQ3GC

CEO E. J. Hwang

About This Report

Overview of the Report

DB HiTek aims to create a society where people, businesses, and the environment coexist harmoniously and co-prosper. This report introduces the overall ESG activities of DB HiTek in order to create economic, social, and environmental values.

DB HiTek annually publishes a ESG Report (formerly CSR Report) in Korean and English, and can be viewed or downloaded through the company website (www.dbhitek.com).

Reporting Standards

This report was drafted in accordance with the Core Option of the Global Reporting Initiative (GRI) Standards, the international standard guidelines for ESG report, and reflects major agendas of the company, from the UN SDGs, UN Global Compact ten principles, and SASB.

The financial performance was prepared in accordance with the Korea International Financial Reporting Standards (K-IFRS).

Reporting Period

The reporting period of this report is from January 1, 2021 to December 31, 2021, and some performance information up to March 2022 may be included. Also, key data includes information and performance trends for 3 years starting from 2019, in order to understand the trend of the performance index.

Scope of Report

This report records the activities of domestic worksites such as the Bucheon Factory (headquarters) and Sangwoo Factory, and data from other overseas subsidiaries shall be separately specified if needed.

Report Verification

In order to secure the reliability and fairness of the preparation process and data of this report, third-party verification was conducted by an independent external specialist organization, and the verification opinion thereof is disclosed in this report.

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The Date of Issue 2022. 08 | **Company** ㈜DB HiTek